TEACHER GUIDE

High school business

Pricing and margin



A review lesson. Students run a car dealership in firms of four and review pricing and margin on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min | **45 min** | 60 min | 75 min

What students do

Every student buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal inventory

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Margin of the price

Round 1

What do you keep?

Margin, as % of the price?

You pay per car	**$10,200**
Customer pays per car	**$12,000**

ANSWER

15%

($12,000 − $10,200) ÷ $12,000 = 15%

Why: You keep 15 cents of every $1 the customer pays.

2 Penetration risks

Round 1

You set a low price on a new model to win buyers fast.

Which two are the main risks?

- **A** Rivals can never match it
- **B** Fewer buyers at the start
- **C** A higher profit per car
- **D** Buyers may leave when the price rises
- **E** A low margin on each car

ANSWER

✓ Buyers may leave when the price rises
✓ A low margin on each car

Why: A low price earns little per car, and buyers drawn by price may not stay.

3 Rank by margin

Round 2

Three cars: what you pay for each, and its price.

Order by margin %, highest first?

- **A** Pay $14,000, price $17,500
- **B** Pay $7,000, price $10,000
- **C** Pay $9,000, price $12,000

ANSWER

1. Pay $7,000, price $10,000
2. Pay $9,000, price $12,000
3. Pay $14,000, price $17,500

Why: Margins 30%, 25%, 20%: the biggest profit in dollars has the lowest margin.

Topic tasks

4 Price to hit margin

Round 2

Price to hit your target.

Price with the 25% margin?

You pay per car	**$7,200**
Prep per car	**$300**
Target margin on the price	**25%**

ANSWER

$10,000

($7,200 + $300) ÷ 75% = $10,000

Why: A 25% margin is a 33% markup on cost.

5 High or low launch

Round 3

You get a rare new model that no rival in town sells.

Which launch price should you set, and why?

A A low price at launch

B A high price at launch

ANSWER

✔ A high price at launch

Why: No rival and a rare model: buyers will pay more at first, so skim.

6 Discounted profit

Round 3

They want a discount.

Profit on the 3 cars?

List price per car	**$17,000**
Fleet discount	**10%**
You pay per car	**$12,000**

ANSWER

$9,900

3 × ($17,000 − 10% − $12,000) = $9,900

Why: The 10% discount costs $5,100 of profit on the deal.

Final questions

Each student answers 6 final questions. They come from these 10 questions on pricing.

1. An EV hatchback costs your firm $14,000 at Wholesale. You want a $3,000 gross profit. What price do you ask the customer, before sales tax?
   ✔ **$17,000**

2. You price a Family SUV at $19,000; it cost $16,000. A rival offers the same car at $18,500. If you match it, what is your gross margin as a % of your price?
   ✔ **13.5%**

3. A customer says your $21,000 price "is really $22,470". Why?
   ✔ **Indiana sales tax of 7% is added on top of your price at the sale**

4. You sell a car to another dealer, who gives you a resale certificate. How much sales tax do you add?
   ✔ **None: a dealer-to-dealer sale for resale is exempt**

5. A Quad bike costs $5,000 and you sell it for $7,000. What is the markup on cost?
   ✔ **40%**

6. Your last Pickup truck cost $20,000. A customer will pay $23,000; another dealer offers $22,000. Which sale makes more profit, and by how much?
   ✔ **The customer, by $1,000**

7. Wholesale discount: 2 cars −2%, 3–4 cars −4%, 5 or more −6%. You buy 3 Small vans listed at $8,000 each. What do you pay?
   ✔ **$23,040**

8. Which of your prices should you compare with a rival's advertised price?
   ✔ **Your own price before sales tax: prices are shown before tax, and every dealer adds the same 7%**

9. You cut an E-van from $21,000 to $20,000; it cost $18,000. What happens to your gross profit on the van?
   ✔ **It falls from $3,000 to $2,000**

10. You need a $6,000 gross profit from three Forklifts that cost $12,000 each. What single price per forklift does it?
    ✔ **$14,000**